



Our ref: IM-72581

2 September 2024

Land of the Ngunnawal people
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Dear Interested Party,

Re: ACCC seeking your views: Orikan Group Pty Ltd acquisition of Duncan Technologies Pty Ltd

The Australian Competition and Consumer Commission (ACCC) is seeking your views on the proposed acquisition of Duncan Technologies Pty Ltd (**Duncan**) by Orikan Group Pty Ltd (**Orikan**).

Duncan and Orikan are both suppliers of parking solutions to state and local governments and private operators in Australia. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact of the proposed acquisition on parking solutions in Australia.

In particular, we would appreciate your views on:

- how closely Orikan and Duncan compete with each other for tenders to supply parking solutions and/or a component of parking solutions (for example, software or infringement issuance products)
- the ability of other suppliers of parking solutions in Australia to compete with Orikan and Duncan
- the ability for customers to acquire and utilise parking solutions supplied by several providers (for example, the ability to integrate with the equipment of a different provider), and
- the time and investment required for a new entrant to establish themselves as a viable supplier of parking solutions in Australia.

Further issues you may wish to address are set out at **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies is in section 50 of the *Competition and Consumer Act 2010* (Cth) (**CCA**), which prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **4pm on 16 September 2024** by email to mergers@acc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the printed name.

Morag Bond
General Manager
Merger Investigations

Attachment A

Transaction

Orikan Group Pty Ltd (Orikan) proposes to acquire 100% of the issued capital of Duncan Technologies Pty Ltd ACN 627 732 343 (Duncan) (the **Proposed Acquisition**).

Orikan and Duncan overlap in the supply of parking solutions, which can include analytics, parking meters, maintenance, payments, apps, infringement issuance, sensors, number plate recognition and cameras/automated enforcement.

Orikan (acquirer)

Orikan is an unlisted company that provides end-to-end on street smart parking solutions in Australia, New Zealand and other countries. This includes the supply of parking software, payment technologies and infringement issuance products and services to state governments and local councils, educational institutions, and commercial customers.

Duncan (target)

Duncan provides unified on-street parking solutions in Australia and other countries, including supply and maintenance of parking meters, enforcement software and processing of infringements to government municipalities and private operators. Duncan also resells payment apps, sensors, number plate recognition hardware and software and camera automated enforcement software of third parties.

Attachment B

- 1) To help us better understand your views, describe your business or organisation and explain your interest in the proposed acquisition, including any commercial relationship(s) with Orikan Group Pty Ltd (**Orikan**) or Duncan Technologies Pty Ltd (**Duncan**).

Questions for organisations which procure parking solutions

- 2) Identify and describe the types of parking products and/or services you procure in Australia.
- 3) Identify your current suppliers for these products and/or services, including the length of time you have used each supplier.
- 4) Describe how you procure different types of parking products or services (for example, through formal tender or other methods), including whether you tender for, or procure, entire parking solutions and/or individual components of parking solutions.
- 5) Describe the factors you consider when selecting a supplier of parking products and/or services (for example, price, service quality, the ability to integrate with existing parking meters and hardware).
- 6) For each parking product or service you procure in Australia, identify and describe prospective suppliers capable of servicing your needs.
- 7) Identify any alternative suppliers you consider can supply the types of products and services offered by Orikan and/or Duncan.
- 8) Explain how closely Orikan and Duncan compete (for example, on price, range of services or capability) in the supply of each product or service listed in response to Question 2 above.
- 9) Discuss whether the proposed acquisition may lead to an increase in tender prices, or a decrease in service level, for any product or service listed in response to Question 2 above.
- 10) Discuss whether you would have the ability to self-supply, or sponsor the entry of a new supplier of, parking solutions (i.e. developing in-house capability or supporting a new supplier from overseas). Provide past examples of such by-pass if possible.
- 11) Discuss the ability for customers to integrate parking products or services supplied by more than one supplier.
- 12) Discuss the extent to, and ease with which you can change providers of parking products and/or services. Describe the factors you would consider when deciding whether or not to change provider, and the cost and process that would be involved in changing providers including any integration costs.

Questions for competitors

- 13) Identify the parking products and services you tender to supply in Australia. For each parking product or service you tender to supply:
 - a) identify your competitors for the product or service, and

b) provide estimated shares of supply in Australia (for yourself and competitors) for the product or service.

14) Discuss the likelihood of, and timeframe for, new entry in the supply of each product or service you supply.

15) Identify recent examples of new entrants tendering for the supply of each product or service you supply.

16) Discuss the ability of other suppliers of parking solutions in Australia to compete with Orikan and Duncan.

17) Explain your reliance (if any) on accessing software or hardware provided by a third party in order to supply your products or services (for example, operating system software for parking meters).

Other

18) Discuss the importance of innovation and research and development in competition for the supply of parking solutions in Australia.

19) Describe the ability of parking software providers to integrate with existing parking equipment (for example, parking meters, sensors, licence recognition cameras).

20) Explain the importance of a consumer facing parking mobile application to compete in the supply of parking solutions.

21) Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.